

Tempus AI, Inc.

TEM NASDAQ

Hold	\$57.30 ▼ 1.60%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.29B
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TEM: Insider Selling Cools Off a Hot AI Story

WHAT HAPPENED

- Stock is bleeding a bit today (-1.6%) on light volume (1.36M vs the usual 4M+) — that tells me this isn't panic selling, it's just apathy. The bigger story is last week's whipsaw: pop to \$61.50 on the agentic oncology platform launch, then a 3-day fade. Classic "buy the rumor, sell the news."
- The CEO of Data (Ryan Fukushima) dumped ~\$1.9M of stock on July 8 across four transactions. Not the founder-CEO, but still — cluster selling from the C-suite right after a product-launch pop is a yellow flag worth respecting.

WHY IT MATTERS

Here's what I'm reading between the lines: TEM launched a legitimately exciting product (agentic AI for oncology research), got a nice pop, and insiders used that strength to trim. That's not necessarily bearish about the business — it's bearish about the near-term stock price. The bullish options flow (0.49 put/call ratio, meaning traders are buying twice as many upside bets as downside bets) suggests the smart money on the derivatives side still thinks there's a rally coming, likely into earnings. But with the stock at just 25% of its 52-week range (\$41-\$104), the market is telling you the \$104 high was euphoria and the truth is somewhere in the middle. Watch for the stock to base around \$55 — if it holds, the next leg is up; if it breaks, we retest the low \$40s.

POLICY & POLITICAL WATCH

The big political tailwind for TEM is the ongoing federal push on AI in healthcare — the FDA has been fast-tracking AI diagnostic clearances under the current administration, and Medicare reimbursement codes for AI-assisted diagnostics keep expanding, which directly benefits Tempus's genomic testing business. The headwind to watch: Congress is still debating data privacy legislation (an updated version of the American Privacy Rights Act) that could add compliance costs for companies handling genomic and clinical data — TEM's entire business model. Also keep an eye on any Medicare rate-setting changes for molecular diagnostics in the 2027 physician fee schedule proposal (usually drops mid-July) — that's a direct revenue lever.

IS IT EXPENSIVE?

At \$10.3B market cap on ~\$715M expected revenue, you're paying about \$14 for every \$1 of sales — that's rich, but not insane for a company growing revenue 30-40% a year in AI healthcare. For context, profitable diagnostics peers trade at \$4-6 per \$1 of sales, so you're paying a big "AI premium" here. The valuation is defensible IF growth stays above 30% and they show a credible path to breaking even by 2028 — but if either of those cracks, this stock has a lot of air underneath it.

Key Data

Price (USD)	\$57.30
12M Price Target	\$62.00
Upside / (Downside)	+8.2%
Market Cap	\$10.29B
FY2026E Revenue	\$715M
FY2027E Revenue	\$965M
FY2026E EPS	(\$1.95)
FY2027E EPS	(\$1.30)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$65.00	\$57.00	\$48.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$210.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy is on fire (+6% in 5 days) — likely reflecting geopolitical tension and/or a summer demand + supply story. Communication Services also quietly running, which is often an AI/tech proxy.

COOLING OFF: Healthcare is flat-to-down 5 days (-0.44%), which is a small headwind for TEM — the sector isn't providing a rising tide right now. Investors are rotating out of defensive healthcare into cyclical/energy plays.

ROTATION WATCH: Money is moving toward hard assets (energy) and away from healthcare — that's a "risk-on inflation trade" setup, which is a mild negative for cash-burning healthtech like TEM in the near term.

RELATED PLAY: If you like the AI healthcare theme but want less volatility, look at the picks-and-shovels — cloud infrastructure (MSFT, GOOGL) that these AI health platforms run on, or Veeva (VEEV) for the software backbone of life sciences.

WHO'S WINNING IN THIS SPACE?

- GH (Guardant Health): Precision oncology peer riding similar liquid biopsy tailwinds and expanded Medicare coverage.
- RXRX (Recursion Pharma): AI drug discovery play — benefits from the same "AI-in-healthcare" narrative that lifts TEM.

TEM CONTEXT: TEM is lagging the broader AI-in-healthcare pack right now — sitting at just 25% of its 52-week range while the story stocks in the space have been more resilient. That's either an opportunity (mean reversion coming) or a warning (something specific to TEM is broken). Given the insider selling, I'd say it's leaning "wait and see" rather than "back up the truck."

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great long-term story, but the near-term setup (insider selling, healthcare sector soft, rich valuation) argues for patience over aggression.

POSITION SIZE: 2-4% of portfolio — enough to matter if it works, small enough that a 40% drawdown doesn't wreck you. This is a volatile name.

ENTRY POINTS: I'd nibble at \$52 and load up in the \$45-48 range on any broader market pullback. Chasing at \$57 with insiders selling is bad process.

TIME HORIZON: 12-24 months. Key catalyst is Q2 earnings (August) — you want to see revenue growth stay above 30% and gross margins expanding.

WHEN TO BAIL: If revenue growth drops below 30% YoY, if a major hospital system partnership is lost, or if they announce a big dilutive capital raise. Any of those and the thesis is broken.

HEDGING: Simplest hedge — just size the position small. If you want to get fancier, pair the TEM long with a short on an overvalued unprofitable AI name, or buy some cheap put protection at the \$45 strike as insurance against a big drawdown.